

Professorship of Corporate Law
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Introduction to Business Law

Contract Law II + III

Summer Term 2026



Contract Law II + III

(1) Revision questions At the beginning of the corresponding topic

(2) Rescission

Case 1a) Rescission due to error

Case 1b) Damage claim

Case 2a) Rescission due to deceit

Case 2b) Rescission due to duress (full text)

(3) Revocation

Case 3a) Revocation § 323 I BGB

Case 3b) Specification of additional period for performance

Case 4 Revocation § 324 BGB

(4) Withdrawal

Case 5

Requirements of effective revocation

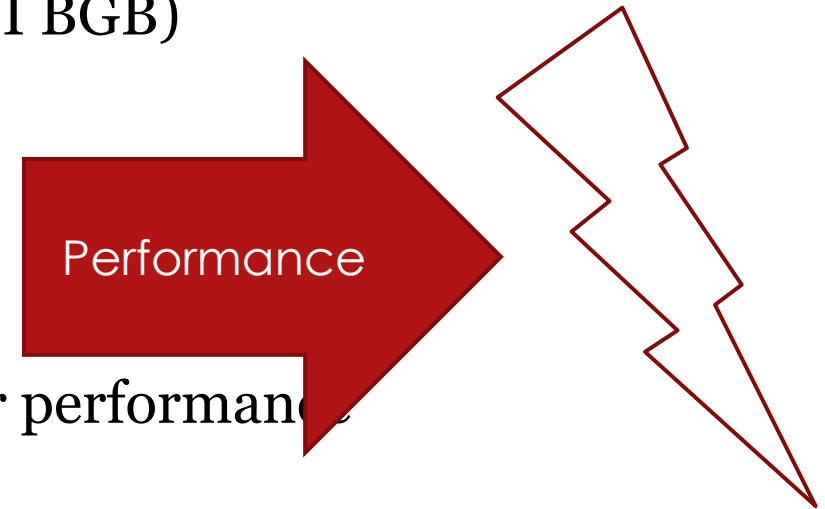
- General scheme with differences depending on the reason for revocation:

Legal basis	Reason for revocation
§ 323 I	Breach of duty to perform (§ 241 I BGB)
§ 324	Breach of a duty under § 241 II BGB
§ 326 V	Duty of performance is excluded

What are the requirements of effective revocation acc. to § 323 I?

I. Reason for revocation pursuant to § 323 I BGB

1. Reciprocal contract
2. Due and enforceable obligation to perform (§ 241 I BGB)
3. Breach of duty of performance
 - Failure to perform, § 323 I Alt. 1 BGB
 - Improper performance, § 323 I Alt. 2 BGB
4. Specification of additional (reasonable) period for performance



II. Declaration of revocation (§ 349 BGB)

III. Effects (§§ 346 et seqq. BGB)

What are the requirements of effective revocation?

I. Reason for revocation pursuant to § 324 BGB

1. Reciprocal contract
2. Breach of ancillary duty (§ 241 II BGB)
3. Upholding of contract can not be reasonably expected
4. Causal relationship from breach to unreasonableness

II. Declaration of revocation (§ 349 BGB)

III. Effects (§§ 346 et seqq BGB)



Case 3 – Facts

44

On Monday morning, S sells her watch to jeweleress J. The handover and transfer of ownership of the watch did not take place yet.

However, S's little brother (B) has taken the watch to Bavaria, where he is attending a two-week vacation camp. S therefore has no access to the watch. When S tells J about these circumstances on Monday evening, J says that she needs the watch by Thursday at the latest. After that, she can no longer resell the watch because the successor model is coming on the market.

On Thursday, S is still unable to bring the watch to J. J tells S that she is no longer interested in the contract.

Question a): Can J revoke the contract?

Question b): What if J had not given S four days to get the watch?

Case 3 – Facts

45

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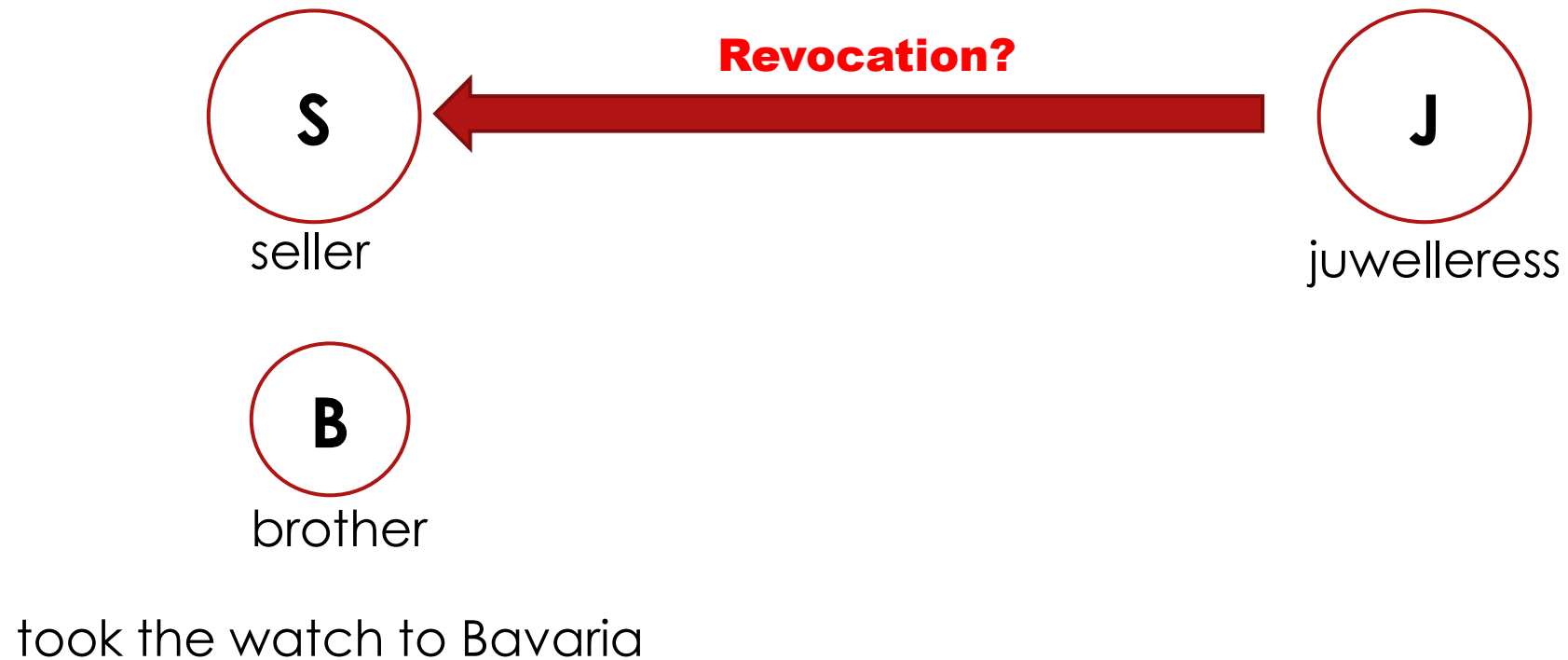
Question a): Can J revoke the contract?

Question b): What if J had not given S four days to get the watch?

Problem?

Case 3 – Sketch

46



A. Revocation § 346 I BGB

I. Reason for revocation (§§ 323 et seqq. BGB) (+)

1. Reciprocal contract (+)

- S and J concluded a purchase agreement (§ 433 BGB)
- S has the obligation to hand over and transfer ownership of the watch (§ 433 I 1 BGB)
- J has the duty to pay the purchase price (§ 433 II BGB)

2. Due and enforceable obligation to perform (+)

- S agreed to handover and transfer ownership of the watch (immediately, § 271 I BGB)

3. Breach of duty of performance (§ 241 I BGB) ()

a) Failure to perform (§ 323 I Alt. 1 BGB) (+)

- S cannot handover and transfer ownership of the watch because B took it to Bavaria

(b) Performance is not excluded (+)

→ In case of exclusion of the duty of performance (§ 275 BGB) the appropriate right of revocation would be § 326 V BGB

- The watch is difficult for S to reach
- However, S knows where it is and that she will get it back soon)

c) Interim result: Breach (+)

Case 3a) – Solution

49

4. Specification of additional period for performance (+)

a) Specification of additional period (+)

- J gave S four days to get the watch

b) Adequacy of the specified additional period (+)

→ Depending on the nature and content of the obligation

Pro adequacy

S was supposed to perform immediately after the conclusion of the contract

With the additional time S had a total of four days to perform

It should be possible to have the watch back from Bavaria within this time

c) Interim result: Specification of additional period for performance (+)

5. Interim result: Reason for revocation according to § 323 BGB (+)

II. Declaration of revocation (§ 349 BGB) (+)

→ No specific form or wording required

- J tells S that she is no longer interested in the contract

III. Effects (§§ 346 et seqq BGB)

IV. Result: Revocation (+)

Case 3 – Facts

51

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However, S's little brother (B) has taken the watch to Bavaria, where he is attending a two-week vacation camp. S therefore has no access to the watch. When S tells J about these circumstances, J says that she needs the watch by Thursday at the latest. After that, she can no longer resell the watch because the successor model is coming on the market.

On Thursday, S is still unable to bring the watch to J. J tells S that she is no longer interested in the contract.

Question a): Can J revoke the contract?

Question b): What if J had not given S 4 days to get the watch?

Problem?

Same case facts like before, only one requirement could have changed:

4. Specification of additional period for performance

a) Specification of additional period (-)

- J didn't mention an additional period

b) Exception

= An additional period is dispensable, if

- **§ 323 II Nr. 1 BGB:** The debtor seriously and definitively refuses performance (-)
 - S was willing to handover and transfer ownership of the watch

- **§ 323 II Nr. 2 BGB:** The debtor does not render performance by a **date specified in the contract or within a period specified in the contract**, in spite of the fact that, according to a notice given by the creditor to the debtor prior to conclusion of the contract or based on other circumstances attending at the time of its conclusion, the performance as per the date specified or within the period specified is of essential importance to the creditor (-)
 - J and S specified no specific date for the performance
- **§ 323 II Nr. 3 BGB:** In the case of work not having been carried out in accordance with the contract, **special circumstances** exist which, when the **interests of both parties** are weighed, justify immediate revocation (+)/(-)
 - Depends on your arguments

c) Result: (+)/(-)

Case 4 – Facts

54

Homeowner (H) hires craftsman (C) to renovate her house. It is agreed that C paints the living room and carries out minor repairs for a total price of 500€. The renovation work as such is completed so far on time and free of defects.

However, C is sloppy when it comes to taking protective measures for H's furniture. From carelessness paint drips on the unprotected carpet and causes permanent stains. Although H has pointed out to C that he must be more careful with his furniture, C breaks a rare and expensive vase.

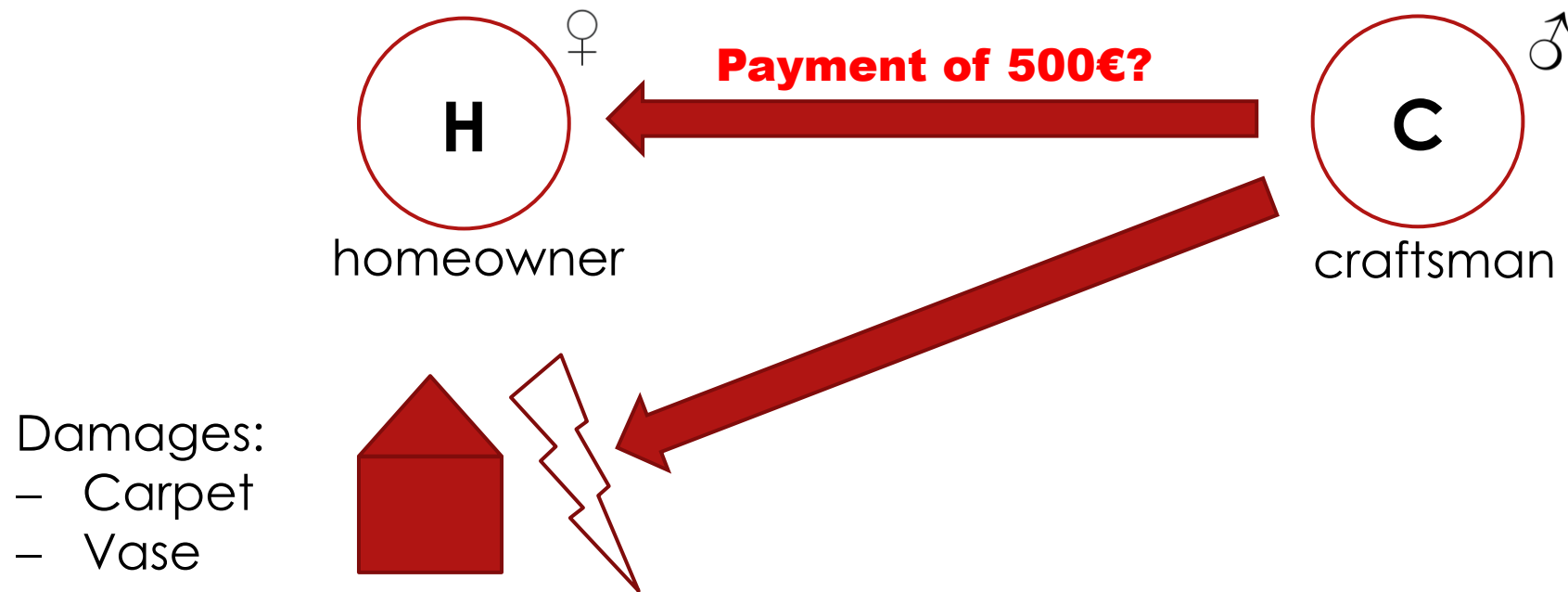
H has enough and wants to “dissolve” the contract. C replies that this is a catastrophe for him with his financial situation. Besides, he has done the renovation properly so far.

Question: Can C claim the payment for the renovation?

Problem?

Case 4 – Sketch

55



A. Claim for payment (§ 631 I Hs. 2 BGB)

§ 631 BGB

Typical contractual duties in a contract to produce a work

(1) By a contract to produce a work, a contractor is obliged to produce the promised work and the **customer is obliged to pay the agreed remuneration.**

(2) The subject matter of a contract to produce a work may be either the production or alteration of a thing or another result to be achieved by work or by a service.

I. Claim arisen ()

1. Conclusion of a works contract (§ 631 BGB) (+)

- H and S agreed that C would paint the living room and do some minor repairs
- H is supposed to pay S 500€

2. Claim for payment arising from the contract (§ 631 I Hs. 2 BGB) (+)

3. Interim result: Claim (+)

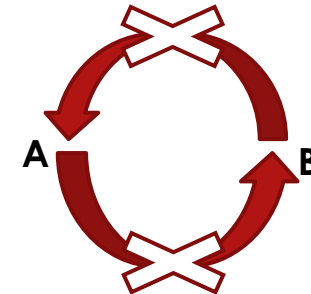
II. Claim not lost ()

- An effective revocation could have destroyed C's claim for payment (§ 631 I Hs. 2 BGB)

- **In principle:** The revocation of the contract results in a winding-up relationship.



- **But:** If nothing has been exchanged, there won't be an exchange. A winding-up does not take place.



1. Reason for revocation ()

- § 324 BGB is possible, if there is a breach of a duty under § 241 II BGB

a) Reciprocal contract (+)

- Works contract (§ 631 BGB)
- C renovates (§ 631 I Hs. 1 BGB) and H pays him for that (§ 631 I Hs. 2 BGB)

b) Breach of ancillary duty (§ 241 II BGB) (+)

- C has to be careful with the furniture while renovating
- However, he damages the carpet and destroys the vase

Case 4 – Solution

60

c) Upholding of contract can not be reasonably expected (+)

Pro	Con
C damaged the carpet	C acted careless but not intentionally
Even H reminding C to be careful had no positive effect	C needs the payment
C did not use his second chance but destroyed a vase	C did the renovation well
→ H's interests outweigh	

d) Causal relationship from breach to unreasonableness (+)

e) Interim result: Reason for revocation (§ 324 BGB) (+)

2. Declaration of revocation § 349 BGB (+)

- H had enough and wanted to “dissolve” the contract
- Can be understood that H declares revocation

3. Effect: No payment will happen

III. Result:

Claim lost (+)

Claim for payment (§ 631 I Hs. 2 BGB) (-)

Section 346 Effects of rescission

(1) If one party to a contract contractually has reserved rescission or if it has a statutory right of revocation, then, in the case of rescission, performance received and emoluments taken are to be returned.

(2) In lieu of restitution or surrender, the obligor is to provide compensation for value, to the extent that

1. restitution or surrender is excluded by the nature of what has been obtained,

2. the obligor has used up, alienated, encumbered, processed or redesigned the object received,

3. the object received has deteriorated or has been destroyed; but deterioration that is intended use is not taken into account.

If consideration is specified in the contract, then this is to be used as a basis w
value for the benefit of use of a loan is to be paid, it may be proved that the va

(3) The duty to compensate for value does not apply

1. if the defect justifying revocation only became apparent during processing

[...]

- 346 II, H have to provide compensation for the painted wall. H shall not have any unreasonable profit due to the revocation.
- But H can still demand damages (§ 325 BGB)

What are the differences and similarities between withdrawal and revocation?

- Requirements:**

1. Right of withdrawal,
§§ 355, 312b,c BGB



2. Declaration of withdrawal,
§ 355 I, II BGB



3. Effects,
§§ 355 III, 357 BGB



1. Reason for revocation,
e.g. § 323 BGB



2. Declaration of revocation,
§ 349 BGB



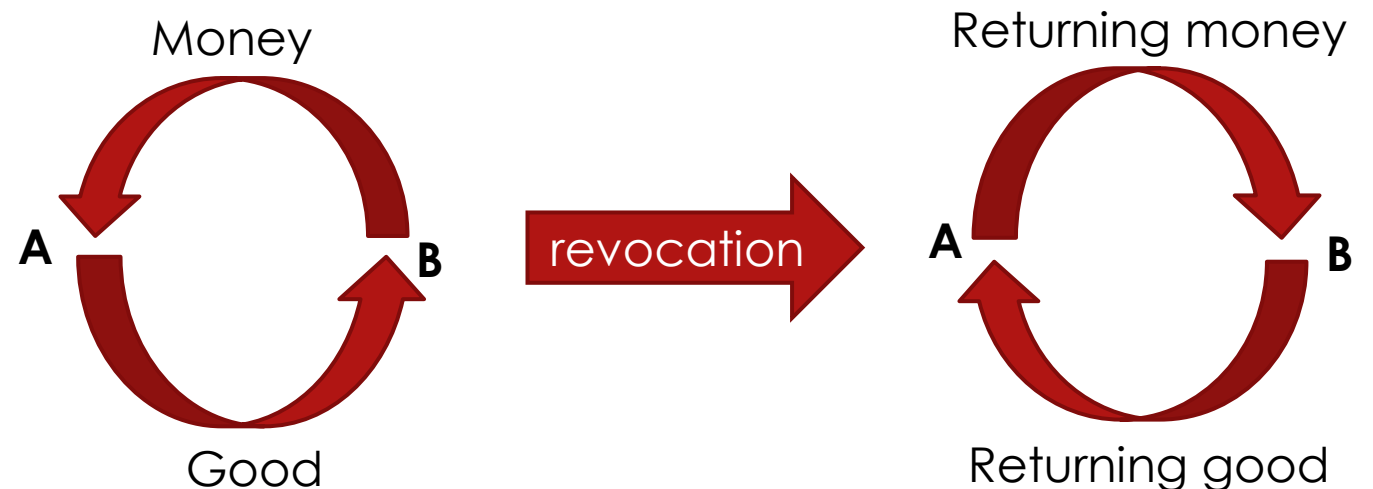
3. Effects,
§§ 346 et seqq. BGB



What are the differences and similarities between withdrawal and revocation?

■ Revocation

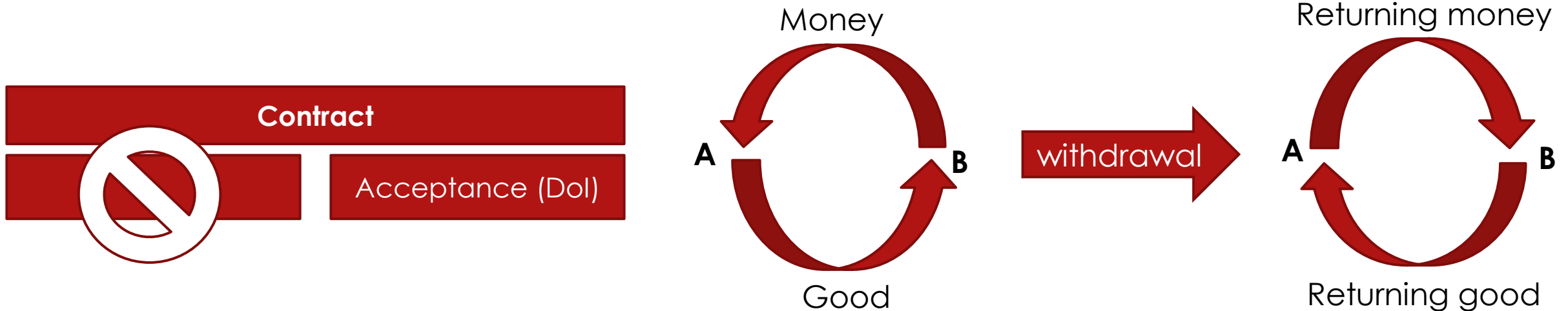
- Contract remains in force, but the performance obligations change
- “Performance received and emoluments taken are to be returned”



What are the differences and similarities between withdrawal and revocation?

■ Withdrawal

- Withdrawal of the declaration of intent of the consumer, § 355 I 1 BGB
- Original contract isn't binding anymore
- Restitution of received performance, §§ 355 III 1, 357 I BGB



Case 5 – Facts

66

In order to study more efficiently, student S buys a laptop for 700€ from electronic retailer (E) on 1st May. To do this, S does not go to E's store, but buys the device from the comfort of his sofa in the online shop on E's website.

After a few days, S receives the laptop. When trying it out for the first time, S realizes that the laptop does not meet his needs. He wants a laptop with a larger screen.

On 11th May, S calls E and tells him on the phone that he wants to return the laptop and will bring it to him in the store.

Question: Did S effectively withdraw his declaration of intent?

Note: E properly informed S of his rights in the case of such a contract.

Case 5 – Facts

67

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Problem?

Question: Did S effectively withdraw his declaration of intent?

Note: E properly informed S of his rights in the case of such a contract.

Case 5 – Sketch

68



Question: Did S effectively withdraw his declaration of intent?

Note: E properly informed S of his rights in the case of such a contract.

A. Effective withdrawal

I. Contract conclusion (+)

- Purchase agreement, § 433 BGB

II. Right of withdrawal acc to 355 I (?)

1. Personal scope of application (?)

= Consumer contract, § 312 I BGB

= Contract between a trader and a consumer, § 310 III BGB

a) Consumer, § 13 BGB (+)

= Every natural person who enters into a legal transaction for purposes that predominantly are outside his trade, business or profession (§ 13 BGB)

- Student S buys the laptop for studying

b) Trader, § 14 BGB (+)

= A natural or legal person or a partnership with legal personality who or which, when entering into a legal transaction, acts in exercise of his or its trade, business or profession

- E is an electronic retailer
- Selling laptops is part of his business

c) Interim result: Personal scope of application (+)

2. Material scope of application, § 355 I 1 BGB (?)

a) Off-premises contracts, § 312b BGB (-)

= Contracts that are concluded with the simultaneous physical presence of the consumer and of the trader, in a place which is not the business premises of the trader (§ 312b I Nr. 1 BGB)

- S used the online shop on E's website
- S and E didn't conclude the contract while being at the same place

b) Distance selling transactions, § 312c BGB (?)

= Contracts for which the trader, or a person acting in the trader's name or on his behalf, and the consumer exclusively avail themselves of **means of distance communication** in negotiating and concluding the contract, except where the conclusion of the contract does not take place in the context of a **sales or service-provision scheme organised for distance sales** (§ 312c I BGB)

aa) With means of distance communication (+)

= All means of communication which can be used to initiate or to conclude a contract, without requiring the simultaneous physical presence of the parties to the contract, such as letters, catalogues, telephone calls, faxes, emails, text messages sent via the mobile telephone service (SMS) as well as messages broadcast and sent via teleservices (§ 312c II BGB)

- S used the online shop on E's website

bb) Sales or service-provision scheme organized for distance sales (+)

- E's website contains an online shop, which is meant for selling products

cc) Interim result: Distance selling transactions (+)

3. No exclusion, § 312g II BGB (+)

4. Interim result: Material scope of application (+)

II. Declaration of withdrawal (?)

1. No specific form required (+)

- It is not harmful that S informs E through a call

2. Declaration to trader, § 355 I 2 BGB ()

- S spoke to E on the phone

3. The decision to withdraw must be clear, § 355 I 3 BGB (+)

- Term “withdrawal” was not mentioned
- However S described it in his own words

4. Justification not required, § 355 I 4 BGB (+)

- Not harmful that S has not explained his desire for withdrawal

5. In time (?)

a) Beginning of period with receipt of the good, §§ 355 II 356 II No. 1 BGB (+)

- S and E concluded the purchase agreement on 1st May
- Laptop was delivered a few days later
- (Proper instruction, no case of § 356 III 1 BGB)

b) Period of time, § 355 II 1 BGB (+)

→ 14 days

- Declaration took place on 11th May
- (Proper instruction, no case of § 356 III 1, 2 BGB)

c. Interim result:

Declaration in time (+)

Declaration of withdrawal (+)

III. Result

S has effectively withdrawn his declaration of intent.

What can be taken into account when arguing that there is a compelling reason for cancellation?

§ 314 BGB

Termination, for a compelling reason, of contracts for the performance of a continuing obligation

(1) Each party may terminate a contract for the performance of a continuing obligation for a compelling reason without a notice period. **There is a compelling reason if the terminating party, taking into account all the circumstances of the specific case and weighing the interests of both parties, cannot reasonably be expected to continue the contractual relationship until the agreed end or until the expiry of a notice period.**

[...]

What can be taken into account when arguing that there is a compelling reason for cancellation?

- **Circumstances (§ 314 I 2 BGB):**
 - Type of contract
 - Gravity of breach of contract
 - Past history of the contracting parties
 - Culpability
 - not required but may be taken into account

Thank you
for your attention!

